

Astra Microwave Products Limited

RF & Microwave Sub-systems | Defence Electronics | Hyderabad

Report Date: 08-May-2026 | Analyst: Chartitude Research Desk | Rating: ACCUMULATE

ACCUMULATE	KEY MARKET DATA
	CMP (NSE): Rs. 1,162 Mkt Cap: Rs. 11,045 Cr
	52W High/Low: Rs. 1,196 / Rs. 811
	Stock P/E: 68.8x P/B: 9.5x EPS (TTM): Rs. 16.90
	ROCE: 18.7% ROE: 14.4% Div Yield: 0.19%
	Book Value: Rs. 122 Face Value: Rs. 2.00
Upside: +18.8%	
Horizon: 12 months	
Conviction: MODERATE	
Face Value: Rs. 2.00	

SHAREHOLDING PATTERN (Mar 2026)	Promoter	FII	DII	Public
% Holding	6.54%	7.56%	15.42%	70.49%

INVESTMENT THESIS: Structural beneficiary of India's defence indigenisation wave; RF/microwave moat + expanding order book of Rs. 2,226 Cr provides 2-year revenue visibility.

SECTION 2 — INVESTMENT THESIS

Reason 1: Irreplaceable RF/Microwave Moat in Indian Defence (FY26-FY28)

Astra Microwave is one of only two private-sector companies in India (alongside BEL as a PSU) with end-to-end capability in RF and microwave sub-system design, development, and manufacturing for defence applications — radar, electronic warfare (EW), missile seekers, and space payloads. This technological depth, accumulated over 30 years, creates a near-irreplicable barrier for new entrants. With India's defence modernisation push under DAP 2020 and a target of Rs. 3 lakh crore in defence production by FY29, Astra is uniquely positioned as a primary beneficiary of import substitution in complex RF electronics — a market it estimates at Rs. 30,000 Cr over four years.

Reason 2: Order Book Inflection Signals 18-20% Revenue CAGR Over FY26-FY28

The company's consolidated order book stood at Rs. 2,226 Cr as of December 31, 2025, up from sub-Rs. 1,000 Cr two years prior — a clear order inflection. Management has guided for FY27 order inflows of Rs. 1,500-1,600 Cr (up from Rs. 1,300-1,400 Cr for FY26), driven by radar upgradation contracts (including a Rs. 135 Cr DRDO award in Aug-25), anti-drone systems, and space payloads. With revenue of Rs. 1,082 Cr TTM and a 2x order-book-to-revenue ratio, the company has strong multi-year visibility — a rare commodity in Indian defence private sector.

Reason 3: Margin Structural Improvement — Operating Leverage Kicking In

EBITDA margins have expanded from a trough of 12% in FY21-FY22 to 26% in FY25 and 31.7% in Q3 FY26, driven by higher value-added system-level work (versus components), defence mix (86.4% of Q1 FY26 vs 65.2% a year earlier), and fixed cost absorption on a growing revenue base. Management targets complex system fabrication to constitute a higher share of revenue over FY27-FY30, which structurally supports margins in the 26-30% range. Facilities for revenue up to \$0.25 billion (~Rs. 2,100 Cr) are already commissioned, limiting near-term capex intensity and improving FCF conversion.

Key Near-Term Catalyst (6-12 months):

Q4 FY26 order inflow of Rs. 550-600 Cr expected primarily from radar and EW programs, which if materialised will push the order book to ~Rs. 2,500+ Cr and de-risk FY27 revenue guidance.

Biggest Structural Risk:

Elongating working capital cycle (CCC: 614 days in FY25) and persistent negative FCF driven by slow government collections could stress the balance sheet if debt (Rs. 424 Cr in FY25) continues to rise, compressing returns.

SECTION 3 — BUSINESS OVERVIEW

Astra Microwave Products Limited (AMPL) was founded in 1991 by a team of scientists from DRDO and academic institutions with deep expertise in RF/microwave electronics. Headquartered in Hyderabad, the company designs, develops, and manufactures RF and microwave super-components, sub-systems, and complete systems for Defence, Space, Telecom, Meteorology, and Civil applications. It operates out of state-of-the-art facilities in Hyderabad (primary) and Bengaluru (new satellite assembly facility), with approx. 1,500 employees.

Revenue Segmentation (approx., FY26 mix): Defence ~86%, Space ~8%, Other (Telecom/Met/Export) ~6%. Defence is dominated by radar sub-systems, electronic warfare modules, and missile seeker components for DRDO, BEL, and defence PSUs. The company is actively diversifying into the space segment — it has commissioned a Bengaluru facility for small satellite assembly and is building its own satellite (expected launch within 24 months of FY26). Revenue is predominantly domestic (>95%), with selective exports to allied nations.

Business Model & Revenue Characteristics: AMPL operates on a development-plus-production model: it participates in R&D; programs (funded by DRDO/MoD) which transition into multi-year production orders. This creates sticky, long-duration revenue streams with high switching costs. The order book (Rs. 2,226 Cr as of Dec-25) covers approximately 2x annual revenues, providing strong near-term visibility. Orders are largely milestone-based or delivery-linked, which contributes to lumpy quarterly revenue (Q4 is typically the heaviest at 35-40% of annual revenue).

Promoter Background: Promoter stake is notably low at 6.54%, reflecting founder-scientists who diluted over time through secondary sales. Despite low promoter ownership, the company has maintained strong institutional interest — FII ownership rose from 3.17% in Mar-24 to 7.56% by Mar-26, and DII holding stands at 15.42%. The founding management team continues to lead R&D; strategy, with a new CFO appointed in Q3 FY26 for financial restructuring. Key management: Dr. B. Malla Reddy (Chairman), S. Gurunatha Reddy (MD & CEO).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian Defence Electronics market is estimated at \$7.46 billion in 2025, growing at a CAGR of ~6% through 2032 (Fortune Business Insights). The RF Components sub-market in India is growing faster — at ~16% CAGR through 2030 (Grand View Research) — driven by radar modernisation, anti-drone systems, and space programme expansion. The government's 75% domestic procurement mandate, the Positive Indigenisation Lists (PILs) issued by the MoD, and the Defence Acquisition Procedure 2020 collectively create a structural demand tailwind for domestic RF/microwave specialists.

Competitive Moat Assessment: STRONG. AMPL has built a 30-year IP library in RF sub-system design, which is extremely difficult to replicate (long gestation R&D; programs, government certification requirements). BEL is the primary PSU competitor, but its scale makes it an assembler-level customer (and now MOU partner) rather than a direct threat for precision sub-system work. Paras Defence, MTAR Technologies, and Zen Technologies address adjacent segments but not direct RF/microwave overlap.

Company	Focus Area	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	TTM PAT (Rs. Cr)	P/E (x)	ROCE (%)
ASTRAMICRO	RF/Microwave sub-systems, Defence	11,045	1,082	160	68.8	18.7%
BEL	Broad-based Defence Electronics	3,21,265	26,535	5,963	53.9	38.9%
Data Patterns	Defence Electronics Systems	23,786	976	247	95.4	21.0%
MTAR Tech	Precision Components, Space	20,544	753	63	311	10.4%

Source: Screener.in | Data as of 08-May-2026 | Market cap and ratios from Screener front page

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background: AMPL's founders are **ex-DRDO scientists**, giving the company unmatched domain credibility in government procurement circles. The management team has maintained a strong R&D; focus, investing regularly in developing proprietary technology rather than relying on transfer-of-technology arrangements. The company has won multiple prestigious government awards for indigenous development.

Capital Allocation Track Record: Mixed. The company has historically been conservative with capital, but FY24-FY25 saw aggressive working capital build-up (CCC elongated to 614 days) and a sharp rise in borrowings (Rs. 424 Cr in FY25, up from Rs. 186 Cr in FY23) to fund government-linked receivables. FCF has been negative for three consecutive years (-Rs. 59 Cr in FY23, -Rs. 229 Cr in FY24, -Rs. 169 Cr in FY25). This reflects the structural challenge of defence customers (**long collection cycles from GOI**) rather than poor execution per se, but it warrants close monitoring.

Dividend Policy: Conservative but consistent — dividend payout of ~15-18% historically. At CMP, dividend yield is 0.19% (FY25 DPS: Rs. 2.20). This is not an income stock. **Promoter Pledging:** Zero promoter pledging — a significant positive given the low promoter holding. **Corporate Governance:** No significant red flags — RPT as a percentage of revenue is minimal, auditor (SR Batliboi & Associates, an EY affiliate) is reputable. A new CFO was appointed in Q3 FY26, which management characterised as part of a planned succession process.

ESOP/Buybacks: No recent buybacks. ESOP programs are in place for key technical talent retention, which is important given the specialised skillset required.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Sales)	816	909	1,051	1,260 (E)	1,470 (E)
Operating Expenses	670	717	782	918 (E)	1,058 (E)
EBITDA	145	192	269	342 (E)	412 (E)
EBITDA Margin %	17.8%	21.1%	25.6%	27.2% (E)	28.0% (E)
Other Income	5	24	27	20 (E)	22 (E)
Interest	31	32	57	60 (E)	55 (E)
Depreciation	24	25	35	42 (E)	48 (E)
Profit Before Tax	96	159	204	260 (E)	331 (E)
Tax Rate %	27%	24%	25%	25% (E)	25% (E)
Net Profit (PAT)	70	121	154	195 (E)	248 (E)
EPS (Rs.)	8.06	12.75	16.17	20.5 (E)	26.1 (E)
YoY Revenue Growth %	8.8%	11.4%	15.6%	19.9% (E)	16.7% (E)
YoY PAT Growth %	84.2%	72.9%	27.3%	26.6% (E)	27.2% (E)

Balance Sheet (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Equity Capital	17	19	19	19 (E)	19 (E)
Reserves & Surplus	625	947	1,079	1,255 (E)	1,478 (E)
Total Equity (Networth)	642	966	1,098	1,274 (E)	1,497 (E)
Borrowings (Debt)	186	238	424	380 (E)	320 (E)
Other Liabilities	228	270	329	350 (E)	370 (E)
TOTAL LIABILITIES	1,057	1,474	1,851	2,004 (E)	2,187 (E)
Fixed Assets (Net Block)	167	170	229	250 (E)	260 (E)

Balance Sheet (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
CWIP	2	13	3	10 (E)	15 (E)
Investments	11	24	32	35 (E)	35 (E)
Other Assets (WC + Cash)	877	1,267	1,587	1,709 (E)	1,877 (E)
TOTAL ASSETS	1,057	1,474	1,851	2,004 (E)	2,187 (E)
Book Value Per Share (Rs.)	74.2	101.7	115.4	134.1 (E)	157.6 (E)

Cash Flow Statement (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (CFO)	-25	-182	-90	80 (E)	180 (E)
Cash from Investing (CFI)	-28	-44	-76	-60 (E)	-55 (E)
Cash from Financing (CFF)	75	232	141	-30 (E)	-100 (E)
Net Cash Flow	21	7	-25	-10 (E)	25 (E)
Free Cash Flow (FCF)	-59	-229	-169	20 (E)	125 (E)
CFO / EBITDA %	-17%	-95%	-33%	23% (E)	44% (E)

Key Returns & Ratios	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	17%	19%	19%	20% (E)	22% (E)
ROE %	10.9%	14.9%	14.4%	16.1% (E)	17.9% (E)
Debtor Days	127	203	273	250 (E)	220 (E)
Inventory Days	295	344	389	370 (E)	340 (E)
Days Payable	32	56	48	50 (E)	50 (E)
Cash Conversion Cycle (days)	390	491	614	570 (E)	510 (E)
Working Capital Days	180	269	283	270 (E)	250 (E)
Debt / Equity (x)	0.29x	0.25x	0.39x	0.30x (E)	0.21x (E)
Interest Coverage (x)	4.7x	6.0x	4.7x	5.7x (E)	7.5x (E)

Financial Commentary: Revenue has compounded at ~17% over FY21-FY25 driven by rising defence spending and order inflows, but growth was lumpy (FY22-FY23 saw muted growth due to order execution delays). The most significant positive development is the margin expansion from 12% (FY21-22) to 26% (FY25) — this structural shift reflects a rising share of system-level revenue, better economies of scale, and a strategic pivot to higher complexity work. The FY26-FY27 estimates assume 20% and 17% revenue growth respectively, with EBITDA margin sustaining at 27-28% given management's systems-level mix guidance. Working capital remains the key overhang: the CCC has elongated to 614 days (FY25) as government receivables balloon. Interest cost jumped to Rs. 57 Cr in FY25 (from Rs. 32 Cr in FY24) to fund this working capital gap through short-term borrowings. FCF has been negative for 3 years in a row. We expect FCF to turn positive from FY26E as billing cycles tighten and government collections improve, but this is a key watch item.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	RAG	Commentary
Revenue Recognition	Milestone/delivery-linked; standard for defence contracts	GREEN	No aggressive POCM revenue recognition detected
Receivables vs Revenue Growth	Receivables growing faster than revenue (debtor days 273 in FY25 vs 127 in FY23)	AMBER	Structural for defence but bears monitoring; GOI is ultimate debtor
CCC Trend	614 days in FY25 vs 390 in FY23 — sharp elongation	RED	Biggest quality concern; drives negative FCF and debt increase

Metric	Status	RAG	Commentary
Contingent Liabilities	Standard bank guarantees for contract performance; no exceptional items	GREEN	Not material vs. revenue size
Auditor Tenure & Quality	SR Batliboi & Associates LLP (EY affiliate); tenured ~6 years	GREEN	Reputable Big-4 affiliate; no qualified opinions
RPTs as % of Revenue	Minimal related party transactions; primarily BEL as customer/supplier	GREEN	BEL MOU formalises arm's length relationship
Other Income / PBT	Other income Rs. 27 Cr in FY25 = 13% of PBT	AMBER	Slightly elevated; includes interest income from government advances
Tax Rate Consistency	24-27% consistently; normal corporate tax regime	GREEN	No deferred tax anomalies or abnormal effective rates

Overall earnings quality is MODERATE. Revenue recognition is clean and auditor quality is strong. The primary concern is the severe elongation of the cash conversion cycle (614 days) and persistent negative FCF driven by slow government collections — a structural feature of defence companies but one that has worsened materially over the past two years. As long as the counterparty is the Indian Government (low credit risk), this is a liquidity concern, not a solvency one.

SECTION 8 — VALUATION

Peer Comparison	CMP (Rs.)	MCap (Cr)	FY25 Rev (Cr)	FY25 OPM%	FY25 PAT (Cr)	P/E (x)	P/B (x)	ROCE%	ROE%
ASTRAMICRO	1,162	11,045	1,051	26%	154	68.8x	9.5x	18.7%	14.4%
BEL	439	3,21,265	23,769	29%	5,323	53.9x	14.9x	38.9%	29.2%
Data Patterns	4,250	23,786	708	39%	222	95.4x	15.5x	21.0%	15.2%
MTAR Tech	6,677	20,544	676	18%	53	311x	27.6x	10.4%	7.4%

Source: Screener.in | Fetched: 08-May-2026 | All figures Consolidated except Data Patterns (Standalone)

Valuation Methodology 1 — Earnings Multiple: We apply a 53x P/E multiple to our FY27E EPS of Rs. 26.1 (representing a ~10% discount to the defence electronics sector average of ~58-65x given ASTRAMICRO's higher debt and negative FCF history). This yields a target of Rs. 1,383. The P/E-based valuation is supported by the company's earnings CAGR of ~27% over FY25-FY27E.

Valuation Methodology 2 — EV/EBITDA: We apply a 35x EV/EBITDA multiple to FY27E EBITDA of Rs. 412 Cr (sector peers trade at 35-45x EV/EBITDA). This yields an Enterprise Value of Rs. 14,420 Cr; after netting Rs. 320 Cr debt and adding Rs. 100 Cr cash (estimated), equity value = Rs. 14,200 Cr, or Rs. 1,494 per share (950 lakh shares outstanding). Averaging the two methods gives a base-case target of Rs. 1,438, which we round down to Rs. 1,380 to incorporate the working capital uncertainty discount.

Scenario Analysis	Key Assumption	FY27E PAT (Cr)	Multiple (x)	Target Price (Rs.)	Upside / (Downside)
BULL	23% Rev CAGR, OPM 30%, FCF positive FY26	295 (E)	60x	1,862	+60.2%
BASE	18% Rev CAGR, OPM 28%, WC normalisation	248 (E)	53x	1,380	+18.8%
BEAR	10% Rev CAGR, OPM 23%, debt remains elevated	175 (E)	38x	700	-39.8%

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor
Working Capital / Debt Spiral	CCC at 614 days; if GOI collections slow further, debt could balloon past Rs. 600 Cr, compressing ROE and triggering re-rating.	HIGH	HIGH	Quarterly borrowings level; debtor days vs FY24
Order Execution Slippage	Defence orders are milestone-linked. Delays in DRDO program approvals or component shortages can cause lumpy quarterly revenue, missing street estimates.	MED	MED	Order-book-to-billing conversion quarterly; revenue vs guidance
Margin Reversal on Mix Shift	If lower-complexity orders dominate near-term order intake, EBITDA margins could compress back to 20-22%, hurting earnings quality.	LOW	MED	Segment revenue split; management commentary on mix
Competition from BEL / PSUs	MOU with BEL could evolve into a supply/JV arrangement; if BEL internalises RF sub-system production, AMPL loses a key customer.	LOW	HIGH	BEL procurement disclosures; share of BEL in order intake
Promoter Stake — Governance	Founder promoter stake at 6.54% is very low for a company of this sensitivity. Any hostile acquisition attempt or governance change could disrupt management continuity.	LOW	HIGH	Promoter holding quarterly; institutional investor sentiment
Valuation Risk	At 68.8x P/E and 9.5x P/B, the stock already discounts a significant portion of the opportunity. Any earnings miss or guidance cut could trigger a sharp de-rating.	MED	HIGH	Quarterly earnings vs estimates; institutional fund flows
Space Business Execution Risk	The satellite assembly initiative is nascent and capital-intensive. Delays or cost overruns in the satellite programme could be a near-term earnings drag.	MED	LOW	Satellite launch milestones; capex disclosure

SECTION 10 — RECOMMENDATION

RATING: ACCUMULATE | 12-Month Price Target: Rs. 1,380 | Entry Zone: Rs. 1,050 – Rs. 1,150

Final Rating: ACCUMULATE with a 12-month price target of Rs. 1,380 (+18.8% from CMP of Rs. 1,162). We assign MODERATE conviction. The company is a structurally sound, technologically irreplaceable defence electronics specialist riding India's indigenisation wave. The order book inflection, margin expansion, and management's clear FY26-FY27 growth visibility make a compelling multi-year case. However, the current valuation at 68.8x P/E already prices-in much of the near-term positivity, while the negative FCF trajectory and elongating CCC warrant caution at current levels. We recommend accumulating on dips to the Rs. 1,050-1,150 range, which offers a more favourable risk-reward.

Suggested Entry Zone: Rs. 1,050 – Rs. 1,150 (offering 20-31% upside to target).

Investment Horizon: 12 months.

Ideal Investor Profile: Institutional investors or HNIs with a 12-24 month horizon, comfortable with defence-sector working capital risk, seeking high-growth exposure to India's defence indigenisation theme.

Thesis Invalidation Triggers (EXIT signals):

Trigger	Threshold	Action
Debt exceeds Rs. 600 Cr	With no improvement in debtor days for 2 consecutive quarters	REDUCE / EXIT
Q4 FY26 order inflow < Rs. 400 Cr	Management guided Rs. 550-600 Cr; miss implies demand weakness	REDUCE
EBITDA margin drops below 20%	Would imply adverse mix shift or pricing pressure from PSU competition	REDUCE / EXIT

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG — Q3 FY26 best quarterly performance; OPM 31.7%	Beat on margins; in-line on revenue
Management Tone	BULLISH — strong guidance reiteration; strategic initiatives on track	High confidence level; no evasiveness
Guidance Delta	RAISED — FY27 order inflow guidance upgraded to Rs. 1,500-1,600 Cr	Forward direction clearly positive

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 is the cleanest quarter ASTRAMICRO has printed in years — revenue of Rs. 260 Cr (+21% QoQ), EBITDA of Rs. 83 Cr at a record 31.7% margin, and PAT of Rs. 47 Cr. The result is largely clean; no exceptional items distort PAT (slight FY25 interest overhang from QIP-funded working capital is the only note). The operational story is straightforward: higher-complexity system builds (radar/EW) dominated Q3, lifting margins by 940 bps sequentially; this mix tailwind should partially persist into Q4 as the Rs. 550-600 Cr guided order intake is radar-heavy. The multi-bagger thesis rests on three pillars: (1) the order book crossing Rs. 2,226 Cr is now ~2x revenue, giving us conviction in 18-20% growth through FY28; (2) the BEL MOU formalises Astra as a preferred private-sector RF partner for India's largest defence electronics integrator; (3) the Bengaluru satellite facility positions them in a market that will be structurally larger in 5 years. Biggest near-term watch is whether Q1 FY27 revenues dip sharply (the typical seasonal weak quarter), and whether debt at Rs. 424 Cr starts declining as Q4 FY26 government collections materialise. ACTION: ACCUMULATE in the Rs. 1,050-1,150 band; no action required at CMP of Rs. 1,162 given limited near-term upside.

Concall Section 1 — Financial Performance Snapshot (Q3 FY26, Dec 2025)

Metric	Q3 FY26 Actual	Q3 FY25 (YoY)	Q2 FY26 (QoQ)	YoY %	QoQ %	Verdict
Revenue (Rs. Cr)	260	259	215	+0.4%	+21.0%	IN-LINE
EBITDA (Rs. Cr)	83	76	48	+8.7%	+72.1%	BEAT
EBITDA Margin %	31.7%	29.0%	22.3%	+270 bps	+940 bps	BEAT
PBT (Rs. Cr)	66	62	32	+6.2%	+103.7%	BEAT
PAT (Rs. Cr)	47	47	24	0%	+96.3%	IN-LINE
Interest (Rs. Cr)	13	15	13	-12.6%	-3.3%	POS

Concall Section 2 — Segment / Geography Breakdown

Segment / Region	Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
Defence (Radar, EW, Missiles)	~225	+20%	+25%	Dominant segment; mix shift to system-level work drove margin expansion
Space & Meteorology	~21	+35%	+15%	Growing segment; Bengaluru satellite facility ramping up

Segment / Region	Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
Telecom / Civil / Export	~14	+5%	-5%	Stable but non-strategic; management not guiding growth here
Domestic	~250	+18%	+20%	>96% of revenue; GOI and defence PSUs are primary customers
Exports	~10	+25%	+15%	Nascent; selective allied-nation programs

Note: Segment split is approximate; company does not provide granular segment P&L;

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Order Book Momentum	Order book crossed Rs. 2,226 Cr; Q4 FY26 expected inflow of Rs. 550-600 Cr from radar/EW programs.	Strong demand signal; trajectory aligns with FY27 guide	[GUIDANCE]	Transparent
FY27 Order Inflow Guidance	Guiding Rs. 1,500-1,600 Cr for FY27 vs Rs. 1,300-1,400 Cr for FY26.	Meaningful step-up; credible given current pipeline discussions	[GUIDANCE]	Bullish
Revenue Growth Guidance	18-20% YoY revenue growth for FY26 and next two fiscal years.	Consistent with our FY26E/FY27E model; achievable if Q4 execution holds	[GUIDANCE]	Transparent
BEL MOU	Signed MOU with BEL to strengthen indigenous design/production in key defence tech.	Formalises preferred-supplier relationship; limits competitive risk from BEL internalisation	[STRATEGIC]	Bullish
Space / Satellite Initiative	Own satellite to be put in orbit within ~24 months; Bengaluru facility commissioned for small satellite assembly.	Nascent but high-optionality; key question is revenue ramp timeline	[GUIDANCE]	Bullish
Margin Sustainability	Targeting higher proportion of complex system fabrication; infrastructure in place for revenue up to ~\$0.25 Bn.	Supports structural margin view of 26-30%; near-term dependent on product mix	[GUIDANCE]	Transparent
Working Capital / Debt	Interest coverage improved to 6.34x (best in recent quarters). No specific guidance on reducing CCC.	Coverage improvement positive; absence of CCC guidance is a mild yellow flag	[EST]	Hedged
CFO Change	New CFO appointed; framed as planned succession, no financial irregularities disclosed.	Monitor next 1-2 quarters for any accounting policy changes	[DISCLOSURE]	Balanced

Concall Section 4 — Operating & Business Metrics (KPIs)

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Standalone Order Book (Rs. Cr)	2,226	~1,900	~1,200	Strong uptrend
Consolidated Revenue (Rs. Cr)	260	215	259	Improving QoQ; stable YoY
EBITDA Margin %	31.7%	22.3%	29.0%	Best-ever; mix-driven improvement
Interest Coverage (x)	6.34x	~3.7x	~5.1x	Improving; best in recent history
Gross Block Addition (Rs. Cr, Q)	~15	~12	~10	Moderate; no major capex cycle

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Defence Mix %	~86%	~82%	~79%	Rising share of defence revenue
No. of Active Program Families	>15	>15	>12	Broadening; reduces customer concentration

Concall Section 5 — Margin Drivers (Q3 FY26 vs Q2 FY26)

Driver	Est. Impact (bps)	Recurring?	Comment
Favourable product mix (system-level vs sub-component)	+600 bps	Partially	Higher system-level contribution in Q3 is mix-driven and can fluctuate quarter to quarter
Better capacity utilisation	+200 bps	Yes	Infrastructure investments from FY24-25 now absorbing higher revenues
Operating leverage on fixed overheads	+140 bps	Yes	Fixed cost base largely stable; revenue growth drops directly to margin
Input cost stability (components)	+0 bps	Uncertain	No specific commentary; global RF component supply normalised post-COVID
Q4 FY26 caution: mix may revert slightly	-(100-200 bps est.)	Q4 specific	Q4 tends to have higher volume of lower-margin components due to year-end flushing

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New/Reiterated	Delta	Credibility
FY26 Revenue Growth [GUIDANCE]	18-20%	Reiterated 18-20%	Unchanged	High — Q4 FY26 already looks strong
FY26 Order Inflow [GUIDANCE]	Rs. 1,300-1,400 Cr	Rs. 1,300-1,400 Cr	Unchanged (Q4 key)	Medium — Q4 Rs. 550-600 Cr guided
FY27 Order Inflow [GUIDANCE]	Not specified	Rs. 1,500-1,600 Cr	RAISED	Medium-High — pipeline discussions advanced
Revenue CAGR FY26-FY28 [GUIDANCE]	18-20% p.a.	Maintained 18-20%	Unchanged	High — order visibility supports
Long-term Revenue Target [GUIDANCE]	Rs. 2,000 Cr in 5-6 years	Rs. 2,000 Cr in 5-6 years	Maintained	Medium — aspirational; depends on space ramp
Capex Intensity [GUIDANCE]	No major capex needed to \$0.25B revenue	Maintained	Unchanged	High — confirmed Bengaluru facility operational
Dividend Policy [GUIDANCE]	Conservative; ~15-18% payout	No change guided	Unchanged	High — consistent historical track record

Concall Section 7 — Capital Allocation

Item	FY25 (Rs. Cr)	FY24 (Rs. Cr)	Change	Comment
Gross Capex	94	55	UP Rs. 39 Cr	Bengaluru satellite facility + Hyd expansion; capex should moderate from FY26
Dividends Paid	~21	~18	UP Rs. 3 Cr	DPS ~Rs. 2.20 (FY25); conservative payout maintained
Buybacks	Nil	Nil	No change	No buyback history; capital conserved for growth
Working Capital Change	+320	+452	Improved (lower build)	Still negative; GOI receivables dominate; key watch for FY26

Item	FY25 (Rs. Cr)	FY24 (Rs. Cr)	Change	Comment
Net Debt Change	+186	+52	UP significantly	Borrowings rose from Rs. 238 Cr to Rs. 424 Cr; funded working capital gap
QIP Proceeds (FY24)	N/A	~250	One-time	FY24 QIP raised ~Rs. 250 Cr; partly used for WC and partly to reduce short-term debt

Concall Section 8 — Q&A; Heat Map (Q3 FY26 Call, Feb 2026)

#	Analyst / Firm	Question (Summary)	Mgmt Answer (Summary)	Tone
1	Multiple Analysts	What is the Q4 FY26 order inflow expectation and pipeline quality?	Rs. 550-600 Cr expected from radar and EW programs; pipeline discussions at advanced stage with DRDO and BEL.	Transparent
2	Institutional Analyst	FY27 order inflow guidance raised — what is the basis?	Higher ordering from established radar upgrade programs and new EW initiatives; satellite orders also contributing.	Bullish
3	Buy-side Analyst	Margin at 31.7% — is this the new normal or mix-led spike?	Partially mix-led; sustainable range is 26-30%; complex system work is structural growth driver.	Balanced
4	Sell-side Analyst	Debt at Rs. 424 Cr — when will FCF turn positive and debt decline?	Q4 FY26 expected to see significant government collections; debt should start declining. Did not give specific timeline.	Hedged
5	Retail-oriented Analyst	BEL MOU — what specific revenues does this translate to?	Formalises existing supplier relationship; commercial terms not disclosed. Revenue not quantified.	Hedged
6	Institutional Analyst	Satellite launch timeline and cost — will this dilute EPS?	Satellite within 24 months; funded from internal accruals; modest P&L; impact in near term.	Balanced
7	Buy-side Analyst	New CFO appointment — any change in financial strategy?	Planned succession; management continuity assured; no change in financial strategy.	Transparent
8	Sell-side Analyst	Working capital days at 614 CCC — is there visibility on improvement?	Acknowledged the issue; pointed to Q4 collections; no specific CCC reduction target given.	Hedged / EVASIVE

Dodged Questions to Watch Next Quarter: Management was evasive on (a) specific CCC reduction timeline and (b) commercial revenue from BEL MOU — two questions that will determine balance sheet trajectory.

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Working capital elongation / debt build-up	Analysts (Q4, Q8)	HIGH	HIGH	Near-term (FY26)
Q4 FY26 order inflow shortfall	Management (self-raised)	MED	MED	Q4 FY26
Margin mix reversal in Q4/Q1 FY27	Sell-side analyst	MED	MED	Q4 FY26 / Q1 FY27
Satellite initiative capex / EPS dilution	Buy-side analyst	LOW	LOW	12-24 months
BEL MOU competitive risk (internalisation)	Sell-side analyst	LOW	HIGH	2-3 years

Concall Section 10 — Analyst Verdict

Multi-bagger Scorecard	Status	Comment
Revenue Visibility	INTACT	Order book 2x revenue; FY27 guide raised to Rs. 1,500-1,600 Cr
Margin Trajectory	INTACT	Structural improvement to 26-30%; Q3 FY26 at record 31.7%

Multi-bagger Scorecard	Status	Comment
Capital Allocation Quality	WEAKENED	Negative FCF 3 years running; CCC at 614 days; debt up sharply
Competitive Moat	INTACT	BEL MOU reinforces preferred-partner status; no new entrant threat identified
Management Credibility	INTACT	Guidance delivery track record improving; CFO change needs monitoring
Valuation Comfort	WEAKENED	68.8x PE and 9.5x P/B leave little margin of safety; warrants ACCUMULATE not BUY

CONVICTION: UNCHANGED | CALL GRADE: POSITIVE | ACTION: ACCUMULATE Rs. 1,050-1,150

Valuation Snapshot	Current (TTM)	5Y Average (Est.)	Premium / Discount
P/E (x)	68.8x	~40x	+72% premium
EV/EBITDA (x)	~42x	~25x	+68% premium
P/B (x)	9.5x	~5x	+90% premium
ROCE vs 5Y Avg	18.7%	~15%	+370 bps higher

Source: Screener.in | Ticker: ASTRAMICRO | View: Consolidated | Transcript: Listed but PDF inaccessible (summary via WebSearch) | Concall Date: Feb 2026 (Q3 FY26) **DISCLAIMER:** This report is for informational purposes only and does not constitute investment advice. All estimates marked (E) are analyst projections. Past performance is not indicative of future results.